2005 C L C 882

[Lahore]

Before Abdul Shakoor Paracha, J

NURICON UNION (PVT.) LTD. through Officer Incharge, Islamabad---Petitioner

versus

MUHAMMAD NASAR SAJJAD and 5 others---Respondents

Writ Petition No.438 of 2005, decided on 18th February, 2005.

Islamabad Rent Restriction Ordinance (IV of 2001)---

----S. 17---Arbitration Act (X of 1940), S.34---Constitution of Pakistan (1973), Art.199---Constitutional petition---Ejectment application---Stay of proceedings---Arbitration clause, invoking of---Rent Controller allowed the application and eviction order was passed---Grievance of tenant was that there was arbitration clause in the agreement between the parties and despite filing of application for invoking the arbitration clause, the Rent Controller did not stay the proceedings---Validity---Tenant did not file the application under S.34 of Arbitration Act, 1940, in civil Court but he had filed the application before Rent Controller which was not a civil Court---Rent Controller acted in quasi-judicial capacity and not as a Court---Petition was dismissed in limine.

Pakistan and Divisional Superintendent Pakistan Railways, Rawalpindi v. Muhammad Faiz Ahmed NLR 1978 Civil 1186 **distinguished.**

Khadim Mohy-ud-Din and another v. Ch. Rehmat Ali Nagra and another PLD 1965 SC 459 **rel.**

Sheikh M. Suleman for Petitioner.

ORDER

The petitioner through this writ petition has assailed the orders, dated 2-12-2004 and 12-2-2005, whereby the Rent Controller, Islamabad has directed the petitioner to file written statement.

2. The learned counsel for the petitioner contends that the petitioner is a tenant of respondents Nos.1 to 5 in House No.1, Street No.44, Sector F-7/1, Islamabad. The respondents filed an application for possession through ejectment against the petitioner in the Court of the Rent Controller, Islamabad. The petitioner has filed an application under section 34 of the Arbitration Act, 1940 for dismissal/stay of the ejectment petition and referring the respondent to approach the arbitrator as per the rent agreements, between the parties, because in the rent agreement there was an arbitration clause. The main reliance of the petitioner is section 34 of the Arbitration Act which reads as follows:---

> 34. Power to stay legal proceedings where there is an Arbitration agreement.--- Where any party to an arbitration agreement or any person claiming under him commences any legal proceedings against any other party to the agreement or any person claiming under him in respect of any matter agreed to be referred, any party to such legal proceedings may, at any time before filing a written statement or taking any other steps in the proceedings, apply to the judicial authority before which the proceedings are pending to stay the proceedings, and if satisfied that there is no sufficient reason why the matter should not be referred in accordance with the arbitration agreement and that the applicant was, at the time when the proceedings were commenced, and still remains,

ready and willing to do all things necessary to the proper conduct of the arbitration, such authority may make an order staying the proceedings.

3. Apart from the fact that no order has been passed on the application of the petitioner under section 34 of Arbitration Act, 1940, the order (if any) passed is appealable under section 39 of the Arbitration Act, 1940. While interpreting section 34 of the Arbitration Act (X of 1940) in the case of Pakistan and Divisional Superintendent Pakistan Railways, Rawalpindi v. Muhammad Faiz Ahmad NLR 1978 Civil 1186 it was held that protection under section 34 available only when application under section 34 is filed before submitting to jurisdiction of Civil Court by filing written statement.

4. The admitted position on the record is that writ petitioner has not filed an application under section 34 of the Arbitration Act (X of 1940), in Civil Court but he has filed a petition before the learned Rent Controller which is not the Civil Court in the case of (1) Khadim Mohihuddin and (2) Mrs. S. Mehmood v. (1) Ch. Rehmat Ali Nagra and (2) Mst. Aziz Begum PLD 1965 SC 459 while interpreting the provisions of West Pakistan Urban Rent Restriction Ordinance (VI of 1959) it has been ruled that Rent Controller acts in Quasi-Judicial Capacity and not as a Court as such this writ petition having no merits is dismissed in limine.

M.H./N-21/L Petition dismissed.